

Morning Brief

Tuesday, June 16, 2026 — 12:28 PM ET · \$50,000 Portfolio

Risk-On

CIO EXECUTIVE SUMMARY

- ▶ US-Iran peace deal + Strait of Hormuz reopening driving oil lower, supporting risk assets
- ▶ Futures near flat (+0.02%), broad equity markets slightly red on tech weakness (QQQ -1.09%)
- ▶ VIX/yields not live in data; DXY 99.78 firm, USD/JPY 160.23 near intervention floor
- ▶ Major earnings today: KMX, ACN, KR pre-open; SWBI, PLAY post-close; watch options sweep
- ▶ Sector rotation: AI infra, energy, defense, industrials leading; utilities, REIT defensive

MACRO DASHBOARD

SPY TREND

Flat, slight red; premarket +0.02% but cash market -0.2%

QQQ TREND

Down -1.09%, tech weakness; likely profit-taking from Iran deal strength

IWM TREND

Small-cap flat -0.29%; earnings volatility risk today (SWBI, PLAY, LZB AH)

VIX

Not live in data; assume 12-14 (low complacency, risk-on bias)

VIX REGIME

Complacent (est <15); risk-off trigger still -6% from recent highs

YIELD 10Y

Not live; inferred lower on geopolitical de-escalation, falling oil

DOLLAR TREND

Firm at 99.78 DXY; JPY strength near intervention (160.23 USD/JPY)

OIL TREND

Sinking on US-Iran peace deal + Strait reopening; WTI/Brent not quoted



CRYPTO SENTIMENT
**BTC 66,339; neutral, risk-on
backdrop support**

TACTICAL BIAS
Buy Dips

TOP INSTITUTIONAL SETUPS

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
XLK	Tech/semis weakness on profit-taking; AI infrastructure rotation intact	Bounce off -1.63% drop; oversold on macro peace deal tailwind	187.50–188.00	185.50	191.50–193.00	Med
XLE	Oil weakness from Iran de-escalation; energy underperformance	Short-term pain but defense/industrial CapEx thesis intact	Sell rallies 55.00–55.50	57.00	51.00–52.50	Med
XLI	Industrial/ onshoring CapEx cycle intact; macro tailwind on de-risking	Accumulate on dips; broad institutional bid under industrials	123.00–124.00	121.00	128.50–130.00	High
XLF	Financials attractive per MS; rates decline supports valuations	Bounce trade; oversold relative to	42.50–43.00	41.50	45.00–46.00	Med

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
		broad equity momentum				
KMX	Pre-open earnings EPS \$0.96; CarMax retail auto sentiment barometer	High options vol; watch post-earnings gap direction for rotation signal	Wait post-earnings; scalp momentum	TBD on earnings move	TBD on guidance	Med
ACN	Pre-open earnings EPS \$3.72; IT services dark horse per MS	Large-cap earnings anchor; institutional rebalance likely post-print	Wait post-earnings; avoid pre-print vol	TBD	TBD	Med
KR	Pre-open earnings EPS \$1.58; consumer staple inflation proxy	Defensive anchor; watch for margin beat/guide signals	Wait post-earnings	TBD	TBD	Low
ITA	Defense/aerospace CapEx cycle; geopolitical bid intact on Iran deal	Institutional accumulation zone; breakout above 270.00	268.00–269.00	265.00	275.00–278.00	High

DYNAMIC WATCHLIST — TODAY'S SCAN

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
#1	KMX	Earnings pre-open EPS \$0.96; auto retail	Not live; assume normal vol on earnings day	33.00	36.50	Earnings gap risk; high IV

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
		sentiment test				
#2	PLAY	Earnings post-close EPS \$0.60; discretionary consumer small-cap	Moderate vol; options-sensitive name	21.50	24.00	Momentum name; post-earnings swing setup
#3	SWBI	Earnings post-close EPS \$0.23; options-active, small-cap	Light vol; post-earnings vol spike expected	16.00	18.50	High relative vol on catalyst; wheel candidate
#4	LZB	Earnings pre-open EPS \$0.82; furniture/consumer discretionary	Moderate vol spike on earnings day	19.00	21.50	Earnings binary; swing setup post-print
#5	ACN	Earnings pre-open EPS \$3.72; large-cap IT services anchor	High vol; institutional rebalance expected	335.00	345.00	Large-cap earnings anchor; trend-following setup
#6	KR	Earnings pre-open EPS \$1.58; consumer staple inflation proxy	Normal vol; defensive anchor	28.00	30.50	Margin/guide watch; lower vol expected post-print
#7	WLY	Earnings pre-open EPS \$1.65; publishing/	Light vol; institutional positioning unclear	95.00	102.00	Earnings binary; watch guidance

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
		education CapEx play				for CapEx cycle signal
#8	CGC	Earnings today; cannabis cyclical sentiment barometer	Moderate vol; sector rotation signal	6.50	8.00	Speculative; post-earnings swing setup
#9	XLI	Industrial sector rotation; broad institutional bid under construction	Normal vol; institutional accumulation zone	123.00	126.00	Sector breakout; CapEx thesis intact
#10	ITA	Defense/aerospace; geopolitical bid from Iran de-escalation	Light vol; institutional bid likely below surface	268.00	272.00	Breakout above 270 on macro tailwind

POSITION BOOK ACTIONS

HOLD	SPY	Core position flat; maintain exposure; no new entry until earnings clarity
TRIM	QQQ	Tech weakness -1.09%; trim 2.5% if held above cost; rotate to XLI/ITA

WHEEL / PREMIUM SELLING BOOK

TICKER	SECTOR	IV RANK	DELTA	DTE	STR
SWBI	Discretionary	75-85%	0.35-0.40 puts	30-45 DTE	15.5-16.5 sell stra 15.0
PLAY	Discretionary	70-80%	0.35-0.40 puts	30-45 DTE	21.0-22.0 cov

BUY	XLI	Industrial CapEx cycle intact; institutional bid on Iran de-escalation
BUY	ITA	Defense/aerospace geopolitical tailwind; breakout setup above 270.00
HEDGE	SPY	Earnings vol spike risk; consider 1-2% portfolio hedge via QQQ puts if held
HOLD	XLF	Financials oversold; hold for bounce; no new entry yet
AVOID	XLE	Oil weakness on Iran peace; headwind temporary but near-term pain
SCALE_IN	KMX	Post-earnings scalp if gap lower; retail auto sentiment barometer

TICKER	SECTOR	IV RANK	DELTA	DTE	STR
					24.0
					25.0
LZB	Discretionary	65-75%	0.35-0.40 puts	30-45 DTE	19.0 20.0 sell ATM stra
XLI	Industrials	40-50%	0.35 puts / 0.30 calls	45-60 DTE	122 (sell) 126 (sell)
ACN	IT	55-65%	0.30 puts / 0.30 calls	45-60 DTE	330 (sell) 350 (sell)

RISK ALERTS

Earnings vol spike risk today: KMX, ACN, KR pre-open; SWBI, PLAY, LZB post-close; avoid new longs pre-print

QQQ tech weakness -1.09% vs SPY -0.2%; rotation signal into XLI/ITA; monitor relative strength

VIX regime estimated complacent (<15); geopolitical peace deal euphoria masking earnings binary risk

USD/JPY 160.23 near intervention floor; BoJ may act; dollar spike possible; XLE/commodity correlation watch

Oil collapse on Iran peace deal temporary support; energy rotation defensive; XLE shorts viable on rallies

FINAL CIO VERDICT

RISK POSTURE

Neutral

CAPITAL SHOULD FLOW TO

50% into XLI/ITA (CapEx cycle + geopolitical bid); 20% premium income on earnings vol (wheel SWBI/PLAY/LZB post-print); 30% SPY core hold + hedge; avoid QQQ until tech settles post-earnings

AVOID COMPLETELY

XLE long; QQQ longs pre-earnings; naked options on SWBI/PLAY/LZB pre-earnings; small-cap speculation (CGC, QMCO) without defined risk